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# Sri Lanka Institute of Information Technology

## B.Sc. Honours Degree in Information Technology

### Specialized in Information Technology

Final Examination
Year 4, Semester 2 (2024)

# IT4050 – Innovation management and Entrepreneurship

Duration: 2 Hours

November 2024

Instructions to Candidates:

- This paper has Four (4) questions. Answer all questions.
- This paper is preceded by ten (10) minutes of reading time. The supervisor will indicate when answering may commence.
- Write down the answers ONLY in the answer booklets provided.
- Total Marks 100 (This paper counts for 70% of Module Marks).
- Read all questions before you start answering.
- This paper contains six pages, including the cover page.

## Question 1: Innovation management [25 marks]

I. According to Springer Link journal 2023 November publication: *Mastering Technology Transfer: From Invention to Innovation*, **"All the inventions are not innovations"**. Do you agree with this statement? Justify your answer with real-world examples.

(3 marks)

II. Analyse the contemporary business environment and identify **three** products or services generated from three out of seven sources of innovation introduced by Peter Druker. Justify your examples.

(6 marks)

III. "General Electric, Procter & Gamble, Visa, Linux. What makes them stand out? Great products? Yes. Great people? Sure. Great leaders? Usually. But if you dig deeper, you will find another, more fundamental reason for their success: management innovation." Do you agree with this statement by *Harvard Business Report*? Justify your answer.

(4 marks)

IV. Manufacturers and service providers cannot solely depend on **incremental innovations**; they need **radical innovations** to thrive in a fast-paced, technologically evolving environment. This is crucial for their survival in an era of rapid technological advancements. Justify this statement with examples.

(7 marks)

V. According to *Business Insider*, "Uber Eats is a food delivery service. It is an extension of Uber's original ride-hailing service, the on-demand food service acts as the middleman between customers and restaurants, bringing take-out from local and chain establishments and dropping it right at customers' doors." Analyze the Uber Eats business model and explore how they applied **Design Thinking Steps** in developing the Uber Eats platform.

(5 marks)

## Question 2: Entrepreneur and Entrepreneurship [25 Marks]

I.

a. Entrepreneurs encounter **four** various risks. If you were planning a tech start-up, explain how these risks would apply and potentially impact your business venture.

(8 marks)

b. Discuss **two** types of entrepreneurs based on Clarence Danhof's classification, providing examples by analyzing notable Sri Lankan entrepreneurs.

(3 marks)

II. "Wealth creation is crucial for the economic development of a country." Analyse this statement and discuss the difference between **wage employment and entrepreneurial employment** and how entrepreneurial employment helps create wealth for a nation.

(6 marks)

III. Identify **three essential skills** that entrepreneurs must possess and discuss the significance of these skills for the success of Sri Lankan entrepreneurs, providing reasons for their importance.

(6 marks)

IV. "Intrapreneurship is going to be one of the key job skills in the future". Justify this statement by discussing the importance of fostering innovation within large organizations.

(2 marks)

## Question 3: Value Proposition and Business Model Canvas [35 Marks]

I. Airbnb operates as a peer-to-peer marketplace that connects hosts looking to rent out their properties with guests seeking short-term accommodations. Hosts list their spaces, ranging from rooms to entire homes, while guests browse and book through the platform. Airbnb generates revenue by charging service fees to both hosts and guests. The platform enhances trust through features like secure payments and reviews, while its asset-light model allows global scalability without owning any properties.

Analyse Airbnb's business model and create **Value Proposition Canvas**.

(15 marks)

II. You have gathered information regarding the Urban Fresh Organics (UFO) Company. By carefully analyzing the following information, develop the UFO company's **Business Model Canvas**.

Urban Fresh Organics (UFO) is an innovative startup that operates at the intersection of health and sustainability. It aims to address the growing concerns regarding the environmental impact of modern agriculture by providing high-quality, organic food products. The company targets health-conscious consumers and eco-friendly individuals who are keen on making ethical food choices without compromising on nutrition or taste.

Mission and Vision: Urban Fresh Organics is committed to reducing the ecological footprint of food production. Its mission is to offer premium organic food products that enable consumers to make a positive impact on their health and the planet. The vision is to become a leading brand in organic food, known for its transparency, ethical sourcing, and environmental stewardship.

UFO targets individuals who are deeply concerned about the environmental and health impacts of their food consumption and prefer products that are organically and responsibly produced. It also appeals to customers who seek fresh, nutritious options that align with their values of sustainability.

Urban Fresh Organics offers a wide range of food products, exclusively sourced from organic farms and sustainable producers, ensuring each item is free from harmful chemicals and minimizes environmental impact. The company maintains full transparency in its sourcing and production processes, ensuring customers are confident in the integrity and safety of their purchases.

UFO operates an e-commerce platform, allowing customers to easily access its organic products and obtain detailed information about the source and benefits of each item. The company also plans to set up temporary farmers' markets and pop-up stores in urban areas to promote brand visibility and allow customers to experience its products firsthand.

Online customer support helps educate consumers on the benefits of organic food, offering personalized advice to guide their purchases. Urban Fresh Organics engages with its community through events, cooking classes, and social media, fostering conversations around healthy living, sustainable agriculture, and environmental responsibility.

The primary revenue stream comes from direct sales of organic food products through online and offline channels. UFO also plans to offer paid cooking classes and workshops on organic farming and healthy living, adding an educational element to the business model.

UFO aims to partner with certified organic farmers and suppliers who share the company's commitment to sustainability. The company requires strong IT infrastructure to support its e-commerce operations and customer service. Additionally, continual research and development are needed to innovate new organic food products and keep pace with evolving consumer trends.

Active marketing through digital and offline channels is essential to build brand awareness and attract health-conscious customers. UFO also collaborates with renowned organic chefs and nutritionists to innovate and refresh its product offerings. Alliances with environmental and health organizations help the company gain certifications and promote sustainable farming practices.

Investment in high-quality organic ingredients, which are generally more expensive than conventional ones, is crucial for UFO's product integrity. A significant marketing budget is allocated to reach the target audience effectively and drive brand growth.

Urban Fresh Organics is focused on expanding its market share within the organic food industry, continuously innovating its product lines, and setting a new standard for sustainability and corporate responsibility. Through strategic growth and community outreach, it aims to shift broader industry practices and consumer behaviors toward healthier and more sustainable food choices.

(20 marks)

## Question 4: Business Plan [15 Marks]

I. "It's critical for entrepreneurs to understand the background and motivations of venture capitalists so when entrepreneurs seek them out to help fund their venture, they know what to prioritize in a firm and how to build a strong, trusting relationship," *says Harvard Business School Senior Lecturer Jeffrey Bussgang.*

a) Identify and explain **four** key aspects you should emphasize when pitching your business plan to venture capitalists who may potentially fund your startup by analyzing this statement. Why are these specific areas critical to angel investors? Justify your answer. (8 marks)

b) Describe **two** areas a potential investor will investigate before investing in a startup. Explain why these areas are critical for the investor's decision-making process. (4 marks)

II. Describe how you have justified that your business plan meets the **three specific tests** that every Business plan must pass. (3 marks)

**End of the Examination Paper**